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GDPR Data Protection Audit Report  
Compliance Record No. IL-2026-GDPR-0947

## 1. Introduction

This GDPR Data Protection Audit Report (·Report·) has been prepared following an independent audit of the personal data processing activities of Meridian Tech Solutions, Inc. (·Meridian Tech· or ·the Company·), headquartered at 4217 W. Hawthorne Blvd., Chicago, Illinois, pursuant to the General Data Protection Regulation (·GDPR·) and applicable Illinois state data protection laws. The audit was conducted between February 3, 2026 and March 15, 2026. The purpose of this Report is to evaluate Meridian Tech's compliance with GDPR obligations and identify risks relating to data protection practices and vendor management.

## 2. Scope of the Audit

- 2.1 The audit covered all personal data processing activities under Meridian Tech's control, including data collection, storage, transfer, and deletion, focusing on the Company's processing of personal data of EU data subjects.
- 2.2 The audit also assessed Meridian Tech's vendor risk management protocols, particularly regarding third-party processors engaged in data handling services.
- 2.3 The audit included review of relevant internal policies, data protection impact assessments (DPIAs), data processing agreements (DPAs), staff interviews, records of processing activities, and technical security controls.

## 3. Definitions

- 3.1 ·Personal Data· means any information relating to an identified or identifiable natural person as defined under Article 4(1) of the GDPR.
- 3.2 ·Data Controller· means the natural or legal person which alone or jointly with others determines the purposes and means of the processing of personal data (GDPR Article 4(7)). In this Report, Meridian Tech is the Data Controller.
- 3.3 ·Data Processor· means a natural or legal person which processes personal data on behalf of the Controller (GDPR Article 4(8)).
- 3.4 ·Vendor-Risk Gap· refers to the disparity between required vendor risk management practices and actual controls implemented by the Company.

## 4. Executive Summary

- 4.1 Meridian Tech demonstrates a generally strong compliance posture with respect to GDPR principles of lawfulness, fairness, transparency, and data minimization. Policies and procedures are documented and communicated adequately to staff.
- 4.2 The Company maintains up-to-date records of processing activities, conducts DPIAs for high-risk processing, and has implemented technical safeguards including encryption and access controls.
- 4.3 However, the audit identified a significant vendor-risk gap relating to third-party processors. Several key vendors lacked adequate GDPR-compliant contractual safeguards and ongoing compliance monitoring. The most concerning instance involves DataNimbus Services LLC, a cloud storage vendor, whose data processing agreement has not been updated since 2023 and does not incorporate mandatory data subject rights clauses or breach notification obligations as required by GDPR.
- 4.4 This vendor-risk gap exposes Meridian Tech to potential regulatory fines and damages in the event of a data breach or non-compliance by the third party. Immediate remedial action is recommended.

## 5. Detailed Findings

### 5.1 Data Processing and Records

Meridian Tech maintains a detailed Record of Processing Activities (RoPA) as required under Article 30 GDPR. The RoPA covers all departments and includes categories of data processed, processing purposes, data subjects, and retention periods. The Company routinely updates this record annually, most recently on January 15, 2026.

### 5.2 Lawful Basis and Consent Management

The Company relies primarily on contractual necessity and legitimate interests as lawful bases for processing. Consent is obtained and documented when required, for marketing communications and optional service features. The audit included a review of the consent management platform, which

meets transparency requirements and includes mechanisms for easy withdrawal.

### 5.3 Data Subject Rights

Meridian Tech has established formal procedures for handling data subject access requests (DSARs), rectification, erasure, and objections. In 2025, the Company processed 143 DSARs with an average response time of 21 days, slightly exceeding the 30-day statutory deadline. This indicates reasonable operational control.

### 5.4 Technical and Organizational Security Measures

Security assessments demonstrate that Meridian Tech employs encryption for data at rest and in transit, multi-factor authentication for administrative access, and conducts routine vulnerability scans. However, penetration testing was last performed in November 2024 and is overdue for an annual renewal.

### 5.5 Vendor Risk Management: Identification of a Material Gap

#### 5.5.1 Vendor Onboarding and Contractual Controls

The audit revealed that Meridian Tech's vendor onboarding process includes due diligence questionnaires and risk assessments. Nonetheless, documentation for approximately 30% of processed vendors is incomplete or outdated as of February 2026.

#### 5.5.2 DataNimbus Services LLC Case

The contract between Meridian Tech and DataNimbus, a key cloud storage provider, was last amended in June 2023. That contract omits clauses explicitly requiring compliance with data subject rights, GDPR breach notification timelines (72 hours notification), and cooperation with supervisory authorities.

#### 5.5.3 Monitoring and Auditing of Vendors

Ongoing compliance monitoring of vendors is inconsistent. While Meridian Tech has plans for annual vendor audits, only 40% of vendors were audited in 2025, and no audits of DataNimbus have been conducted post-contract amendment.

#### 5.5.4 Risk Assessment

Based on this evidence, the vendor-risk gap constitutes a material compliance risk. Failure by DataNimbus to comply with GDPR obligations could result in personal data breaches, triggering liability for Meridian Tech.

## 6. Regulatory Context and Potential Impact

6.1 Under GDPR Article 28(3), Data Controllers must use only processors providing sufficient guarantees to implement appropriate technical and organizational measures. Failure to comply can lead to administrative fines up to 4% of annual global turnover or ·20 million, whichever is greater.

6.2 The Illinois Personal Information Protection Act and subsequent amendments align with GDPR principles, providing for additional state-level enforcement and penalties.

6.3 Meridian Tech's 2025 global revenue was approximately \$112 million, putting potential GDPR fines in the multi-million dollar range if violations arise from vendor negligence.

## 7. Recommendations and Remediation Plan

### 7.1 Immediate Actions (Deadline: June 30, 2026)

7.1.1 Renegotiate and update DataNimbus Services LLC's data processing agreement to incorporate all mandatory GDPR clauses, including data subject rights facilitation and breach notification obligations.

7.1.2 Perform a comprehensive audit of all current vendors to verify GDPR compliance documentation and contractual safeguards.

7.1.3 Institute formal policies for ongoing vendor compliance monitoring, including annual audits and risk reassessments.

### 7.2 Medium-Term Actions (Deadline: December 31, 2026)

7.2.1 Conduct renewed penetration testing and vulnerability assessments to address technical security gaps.

7.2.2 Enhance staff training on vendor risk management and data protection procedures.

7.2.3 Implement a centralized vendor management system with compliance tracking features.

### 7.3 Long-Term Actions (Deadline: March 31, 2027)

7.3.1 Review and update the Company's data protection policies and DPIAs to reflect changing vendor

landscape and regulatory developments.

7.3.2 Establish a Data Protection Officer (DPO) reporting directly to the Board, if not already appointed, to oversee ongoing compliance.

#### 8. Conclusion

This audit confirms Meridian Tech Solutions, Inc. is substantially compliant with GDPR obligations in its direct processing activities within the Illinois jurisdiction. Nevertheless, a critical vendor-risk gap has been identified relating to outdated and incomplete contractual safeguards with third-party data processors, specifically DataNimbus Services LLC. Addressing this gap is imperative to mitigate potential regulatory penalties and reputational damage.

#### 9. Certification

I hereby certify that the information contained in this Report is accurate to the best of my knowledge and that the audit was conducted in accordance with accepted data protection audit standards.

Date: March 25, 2026

Signed:

Evelyn M. Carter

Lead Data Protection Auditor

Carter & Associates Compliance Services

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#### 10. Distribution List

- Meridian Tech Solutions, Inc. · Board of Directors
- Meridian Tech Legal and Compliance Department
- Illinois Attorney General's Office · Data Privacy Unit (upon request)

End of Report